

AUTOMOBILE INSURANCE POLICY

RoadGuard Auto Insurance Company | All Plan Tiers | Policy Year 2025

SECTION 1: DEFINITIONS

1.1 Key Terms

ACTUAL CASH VALUE (ACV): The market value of your vehicle immediately before a loss, determined by its age, make, model, condition, mileage, and comparable vehicles in your area. ACV is calculated using industry-standard valuation tools and may be less than what you paid for the vehicle or what you owe on a loan.

BODILY INJURY: Physical harm, sickness, disease, or death sustained by a person.

COLLISION: Contact of your covered vehicle with another vehicle, object, or surface, resulting in damage to your covered vehicle. This includes: rollover accidents, impact with another moving or stationary vehicle, impact with a stationary object (e.g., guardrail, tree, pothole), and single-vehicle accidents.

COMPREHENSIVE (OTHER THAN COLLISION): Loss or damage to your covered vehicle caused by events other than collision. Covered perils include: theft, vandalism, fire, flood, hail, wind, falling objects, earthquake, animal contact (e.g., deer strike), and civil disturbance.

COVERED VEHICLE: The vehicle(s) listed on your Declarations Page, plus any replacement vehicle you acquire during the policy period (subject to notification requirements).

FAULT / AT-FAULT: A determination that a driver's negligence was a proximate cause of an accident. Fault is determined based on traffic laws, police reports, witness statements, and applicable state comparative negligence rules.

FNOL (FIRST NOTICE OF LOSS): The initial report of an accident or loss to RoadGuard. FNOL initiates the claims process and assigns a claim number.

GAP (GUARANTEED ASSET PROTECTION): Coverage that pays the difference between your vehicle's ACV and the outstanding balance on your auto loan or lease at the time of a total loss, preventing you from owing money on a vehicle you no longer have.

LIABILITY COVERAGE: Protects you when you are legally responsible for causing bodily injury or property damage to others in an automobile accident. Liability coverage does not pay for your own injuries or vehicle damage.

NAMED INSURED: The person(s) or entity listed on the Declarations Page as the policyholder.

PROPERTY DAMAGE: Physical injury to, destruction of, or loss of use of tangible property belonging to others.

SUBROGATION: RoadGuard's right to pursue a third party responsible for causing a loss after RoadGuard has paid a claim to you. By accepting a claims payment, you assign your right to recover from the at-fault party to RoadGuard.

TOTAL LOSS: A determination that the cost to repair a damaged vehicle equals or exceeds a defined percentage of its ACV (varies by state; typically 70–80%). When a vehicle is declared a total loss, RoadGuard pays the ACV minus your deductible, rather than repairing the vehicle.

UNDERINSURED MOTORIST (UIM): A driver whose liability insurance limits are insufficient to fully compensate you for your injuries and damages.

UNINSURED MOTORIST (UM): A driver who has no liability insurance, whose insurer denies coverage or is insolvent, or who cannot be identified (hit-and-run).

SECTION 2: LIABILITY COVERAGE

2.1 Bodily Injury Liability

RoadGuard will pay damages for bodily injury for which an insured is legally liable because of an auto accident. We will settle or defend, at our expense, any claim or suit asking for these damages. Our duty to settle or defend ends when the applicable limit of liability has been exhausted by payment of judgments or settlements.

LIMIT STRUCTURE: Your bodily injury liability limit is expressed as two numbers (e.g., \$100,000/\$300,000). The first number is the maximum RoadGuard will pay per person injured in a single accident. The second number is the

maximum RoadGuard will pay for all bodily injuries in a single accident, regardless of the number of persons injured.

WHO IS COVERED: You (named insured), family members residing in your household, any person using your covered vehicle with your permission, any person or organization legally responsible for the acts of a covered person while using your covered vehicle.

2.2 Property Damage Liability

RoadGuard will pay damages for property damage for which an insured is legally liable because of an auto accident. Property damage liability covers damage to other people's vehicles, structures, fences, utility poles, and other property.

WHAT IS NOT COVERED: Property damage liability does not cover damage to your own vehicle (covered under collision), damage to property you are transporting (covered under separate inland marine policy), or intentional damage caused by a covered person.

2.3 Minimum Liability Compliance

Your policy automatically meets the minimum liability requirements of the state where your vehicle is primarily garaged. If you drive in a state requiring higher minimums, your policy automatically extends to meet those minimums. This automatic extension does not increase your limits for claims in your home state.

SECTION 3: COLLISION COVERAGE

3.1 What Is Covered

RoadGuard will pay for direct and accidental loss to your covered vehicle caused by collision, minus your collision deductible. Collision coverage applies regardless of who is at fault.

COVERED SCENARIOS: Impact with another vehicle (moving or parked); Impact with a stationary object (guardrail, tree, wall, mailbox, pothole); Rollover; Impact with an animal that causes a collision (animal contact without collision is comprehensive).

DEDUCTIBLE: Your collision deductible is shown on your Declarations Page. The deductible applies to each separate collision loss. If the other driver is 100% at-fault, RoadGuard will pursue subrogation to recover your deductible from the at-fault party's insurer.

3.2 Total Loss Under Collision

If your vehicle is declared a total loss following a collision: RoadGuard will pay the ACV of your vehicle at the time of loss, minus your collision deductible. If you have GAP coverage and you owe more on your loan than the ACV, GAP coverage will pay the difference (up to the limits specified in Section 6). You must transfer the vehicle title to RoadGuard upon accepting a total loss settlement.

3.3 Collision Exclusions

Collision coverage does not apply to: Wear and tear, mechanical breakdown, or gradual deterioration; Damage caused intentionally by the named insured; Racing or speed competitions; Vehicles used as a livery or for hire without a rideshare endorsement; Nuclear hazard.

SECTION 4: COMPREHENSIVE COVERAGE

4.1 What Is Covered

RoadGuard will pay for direct and accidental loss to your covered vehicle from any cause except collision, minus your comprehensive deductible. Comprehensive is also called 'Other Than Collision' (OTC) coverage.

COVERED PERILS: Theft (partial or total); Vandalism and malicious mischief; Fire, smoke, and explosion; Flood and rising water; Hail, windstorm, and tornado; Falling objects (tree branches, debris); Earthquake; Animal contact (deer strike, bird impact causing damage); Riot and civil disturbance; Glass breakage (windshield and windows – deductible may be waived for glass-only claims on Premium Guard and Comprehensive Elite plans).

4.2 Theft Claims

To file a theft claim: File a police report within 24 hours of discovering the theft; Notify RoadGuard via FNOL immediately; Provide all keys and key fobs to RoadGuard; Allow RoadGuard 30 days to recover the vehicle before a

total loss settlement is issued. If the vehicle is recovered after settlement, the vehicle becomes RoadGuard's property. Recovered vehicle with damage: RoadGuard will pay repair costs up to ACV minus deductible.

4.3 Comprehensive Exclusions

Comprehensive coverage does not apply to: Electronic equipment not permanently installed by the manufacturer; Personal belongings left in the vehicle (covered under homeowners/renters insurance); Diminution in value; Wear and tear; Mechanical breakdown; Nuclear contamination.

SECTION 5: UNINSURED / UNDERINSURED MOTORIST COVERAGE

5.1 Uninsured Motorist (UM) Coverage

RoadGuard will pay compensatory damages you are legally entitled to recover from the owner or operator of an uninsured motor vehicle because of bodily injury sustained by an insured and caused by an accident.

UNINSURED VEHICLE DEFINED: A vehicle for which: no liability insurance policy applies at the time of the accident; the insurer has legally denied coverage; the insurer becomes insolvent after the accident; the vehicle cannot be identified (hit-and-run), provided bodily contact occurred or there is independent witness corroboration.

UM STACKING: Illinois law permits intra-policy stacking of UM limits across multiple vehicles on the same policy, unless the policy contains an anti-stacking endorsement. Check your Declarations Page for stacking status.

5.2 Underinsured Motorist (UIM) Coverage

UIM coverage applies when the at-fault driver's liability limits are less than your actual damages. RoadGuard pays the difference between your UIM limit and the amount recovered from the at-fault driver's insurance, up to your UIM limit.

EXAMPLE: Your UIM limit is \$100,000. Your damages are \$80,000. At-fault driver's liability limit is \$30,000 and their insurer pays the full \$30,000. RoadGuard pays the remaining \$50,000 (\$80,000 damages minus \$30,000 recovered = \$50,000 UIM payment).

CONSENT TO SETTLE: You must obtain RoadGuard's written consent before settling with the at-fault driver's insurer for less than their policy limit. Settling without consent may void your UIM claim.

5.3 UM/UIM Property Damage

Uninsured Motorist Property Damage (UMPD) is available as an add-on endorsement on Standard Shield and Premium Guard plans. It is included on Comprehensive Elite. UMPD covers damage to your vehicle caused by an uninsured driver, subject to a \$250 deductible. UMPD is an alternative to collision for hit-and-run claims where bodily contact cannot be established.

SECTION 6: GAP COVERAGE

6.1 What GAP Covers

Guaranteed Asset Protection (GAP) coverage pays the difference between your vehicle's ACV at the time of a total loss and your outstanding loan or lease balance, subject to the following conditions and exclusions.

GAP BENEFIT CALCULATION: ACV of vehicle (per Section 3.2/4.1) minus collision or comprehensive deductible = Net ACV. Outstanding loan/lease balance minus Net ACV = GAP benefit (if positive).

PLAN AVAILABILITY: Standard Shield: GAP not included (available as paid add-on for \$8/term). Premium Guard: GAP included for loan terms up to 60 months. Comprehensive Elite: GAP included for all loan terms.

6.2 GAP Exclusions

GAP does not cover: Overdue payments at time of loss; Security deposits; Extended warranties included in the loan; Credit life or disability insurance included in the loan; Carry-over balances from previous loans; Any amount over 125% of the vehicle's original MSRP at time of purchase; Delinquent loan payments or late fees.

SECTION 7: MEDICAL PAYMENTS (MEDPAY)

7.1 Coverage Description

RoadGuard will pay reasonable medical expenses incurred within 3 years from the date of an automobile accident for bodily injury to an insured caused by that accident. MedPay applies regardless of fault.

COVERED PERSONS: You and family members injured while occupying or struck by any vehicle; Any person injured while occupying your covered vehicle with permission.

COVERED EXPENSES: Hospital and surgical expenses; Ambulance and emergency transport; X-rays, MRI, CT scans; Dental treatment (if injury-related); Prosthetics; Funeral expenses (up to the MedPay limit).

MedPay limits: Standard Shield: \$5,000; Premium Guard: \$10,000; Comprehensive Elite: \$25,000.

SECTION 8: CLAIMS PROCEDURES

8.1 Reporting a Claim (FNOL)

IMMEDIATE STEPS AFTER AN ACCIDENT: 1. Ensure safety: Move vehicles out of traffic if safely possible; Check for injuries; Call 911 if anyone is injured or property damage is significant. 2. Document the scene: Photograph all vehicles, damage, license plates, road conditions, and any visible injuries. 3. Exchange information: Names, addresses, phone numbers, driver's license numbers, insurance company and policy numbers, and vehicle VINs for all parties. 4. Do NOT admit fault or apologize at the scene. 5. Report to police: A police report is required for all hit-and-run claims and strongly recommended for all accidents. 6. Contact RoadGuard: File your FNOL within 24 hours of the accident by calling 1-800-555-0600, online at roadguardauto.com/claims, or through the RoadGuard mobile app.

8.2 The Claims Investigation Process

After your FNOL is received: (1) A claim number is assigned and a claims adjuster is allocated within 4 business hours; (2) The adjuster contacts you within 1 business day to schedule a vehicle inspection; (3) RoadGuard may request a recorded statement; (4) RoadGuard contacts the other party's insurer (if applicable); (5) Liability determination is made within 30 days for standard claims; (6) For total loss claims, a settlement offer is made within 5 business days of inspection; (7) For repairable damage, an estimate is provided and repairs authorized at an approved shop or your shop of choice.

8.3 Repair Process

ROADGUARD DIRECT REPAIR PROGRAM (DRP): Using a RoadGuard-preferred repair shop provides: Guaranteed completion timeline; Direct billing to RoadGuard (you pay only your deductible); Lifetime repair warranty on covered work; Priority scheduling.

YOUR OWN SHOP: You may use any licensed repair facility. You will receive a claim payment based on RoadGuard's estimate. If your shop charges more than the estimate, RoadGuard will work with the shop directly to resolve any difference. You are responsible for authorizing and paying the shop; RoadGuard reimburses you.

SUPPLEMENTS: If additional damage is discovered during repair, the shop submits a supplement to RoadGuard. Supplements are reviewed and approved/denied within 2 business days.

8.4 Total Loss Procedures

A vehicle is declared a total loss when repair costs equal or exceed the applicable threshold (see Total Loss Threshold Table – separate dataset). Upon total loss determination: 1. RoadGuard provides an ACV valuation with a line-item breakdown. 2. You have the right to dispute the valuation (submit comparable vehicle listings within 5 business days). 3. Once ACV is agreed, settlement is issued within 3 business days. 4. You must pay off any lien holder and transfer clear title. 5. You may retain a salvage vehicle (ACV settlement is reduced by salvage value). 6. GAP benefit (if applicable) is calculated and paid separately directly to your lien holder.

SECTION 9: EXCLUSIONS

9.1 General Policy Exclusions

This policy does NOT cover losses arising from: (a) Intentional acts by any insured (b) Racing, track events, or timed speed competitions (c) Use of vehicle as a taxi, livery, delivery, or transportation network vehicle (rideshare) without proper endorsement (d) Nuclear, biological, chemical, or radiological weapons (e) War, invasion, or acts of terrorism (as defined by federal law) (f) Wear and tear, mechanical breakdown, rust, or corrosion (g) Electronic equipment added

after original manufacture (stereos, navigation, etc.) unless scheduled (h) Personal property left in the vehicle (covered under homeowners/renters) (i) Vehicles used in business without a commercial auto endorsement (j) Driver excluded by endorsement on the Declarations Page (k) Vehicle operated by a driver under the influence of alcohol or controlled substances (l) Criminal acts by an insured

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